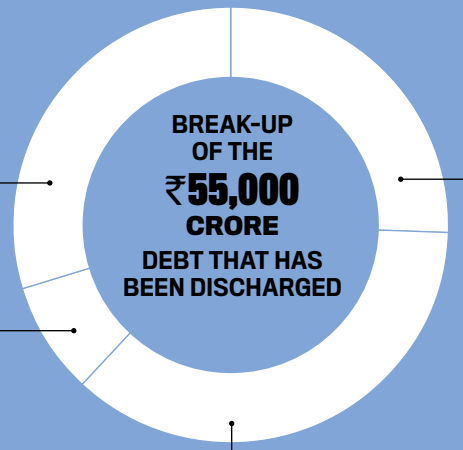
HOW IL&FS'S DEBT WAS RESOLVED



1. Debt discharged through asset monetisation / termination settlement

₹16,400 CRORE

(Includes sale of wind assets, ONGC Tripura, Yuhe (China), Technology Group, GIFT City and InvIT Phase I)

2. Debt discharged through repayments and release of non-fund based limits

₹4,600 CRORE

3. Accrued cash & InvIT units

₹20,000 CRORE

(₹16,000 crore available for distribution to creditors)

4. Resolutions in progress

₹14,000 CRORE

(of which ₹7,500 crore is transaction closure underway and Rs 6,500 crore is awaiting judicial approval)

(Source: IL&FS)

holding companies of IL&FS.

Kotak steered the recovery and resolution through two pandemic years, which is being acknowledged as a feat. In hindsight, however, some say the board should have been more aggressive. "They could have done better by selling the companies; even road companies have been converted to InvITs. They are possibly a safer option, but I don't agree with that. I think this was something sub-optimal," says Garg. Shardul Shroff, executive chairman of Shardul Amarchand Mangaldas & Co, says the insolvency law has specific legal provision on how to undertake insolvency of financial service providers and precedent-based procedures for group insolvency; it also prescribes timelines for resolution. "The recovery in IL&FS Group has been substantial," Shroff concedes, "but how much of that is in cash or REITs (real estate investment trusts) is yet to be put in the public domain. Lenders have a choice whether to accept cash or REITs. This is undetermined at a group level vis-a-vis individual corporate debtors in the IL&FS group."

THE WAY AHEAD

Experts say CMD Rajan must now build on the momentum Kotak set in motion. "If the company is continued like a 'going concern', it is equivalent to being on ventilator. It's unsustainable," says a Mumbai-based analyst. "Moreover," says Shroff, "after 2019, the special procedure of IBC should apply and the company will not have the benefit of the Companies Act where there is no time limit. If it finally goes under IBC or is transferred there, an administrator will be appointed and the board will continue to be superseded." Given that the cash component is unlikely to be substantial since several projects were incomplete, Shroff believes the lenders will get alternative commercial paper of IL&FS and other subsidiary companies to retire their debt or continue it with alternative instruments. "This may not satisfy secured creditors," he says.

Once the resolution process is completed, the decision on whether to keep IL&FS or to completely erase it will have to be taken. A narrowly-focused company could emerge. "Many subsidiaries and businesses were part of IL&FS," says Nilesh Shah, MD, Kotak Mahindra Asset Management Company. "Shut them down or decide what's working and keep that alive. But IL&FS as a brand name will not be able to raise capital, so shut it down and reincarnate." There are about 120 companies in the group that still need to be resolved. Garg advocates the company cease to exist once it completes all the transactions in a year from now.

"To prevent such a crisis from happening again, we should show collective responsibility," says Parekh. "Every aspect of the financial machinery, including the role of the regulator, needs to be strengthened." Shah believes the market has to introspect as to why it did not penalise the company and allowed it to raise money till the very end. Kotak says the IL&FS experience has taught him many things. One, in a crisis situation such as this, the government needs to move with speed, as it did in this case. Two, the need for checks and balances at all levels—the management, the board of directors, institutional shareholders, rating agencies, auditors and the regulators. Three, a faster judicial process. Four, that sovereign governments, particularly in states, respect contracts. And, finally, a robust legal framework to address group resolutions. "I believe IL&FS is a case study on how we think about the future of structure, regulation, governance and how we built a resolution framework in a no man's land," he says. Abysmal governance, complicated company structures, poor regulatory oversight—the IL&FS story was a composite of all the evils that plague corporate India. Kotak and his team have undone some of the damage, but to pre-empt more such crises, India needs to strengthen governance at every stage. The IL&FS case and its debt resolution saga should serve as a timely eye-opener. ■